

The upside target was 8.73 (17.45 split unadjusted), just below round-number resistance at 17.50 (split unadjusted) and “below the tail's high at 8.99.” The tail is price bar F. If you look closely, you will see how price opens and closes near the bottom of that day. It's a one-day reversal (gravestone doji in candle-speak), signaling a downward move.

On 28 October, I raised the stop to 7.74, which is line E, just below the bottom of the bowl.

A few weeks later (16 November), I raised the stop again to 8.22, shown at H. That was two days before B. I tucked the stop below the slight a minor low at H. With the price at 10.07 and the stop at 8.22, that's a potential 18% loss, which is ten percentage points higher than I like to see.

When I placed the stop, it was clear an ascending scallop had formed between points F and B.

The day after the stock peaked, I sold. Here are my notes: “Sell reason: Hitting a round number (20, split unadjusted). On monthly scale, it's at a horizontal trendline of a right-angled and descending broadening pattern [not shown]. I anticipate a drop to 9.00 (50% retrace of prior up move), then a punch through the trendline. This has been trending upward for too long without a retrace. Lots of overhead resistance to prevent price from moving up much higher. Volume is dropping even as price rises. This may coast up to 10.50 (site of the old horizontal trendline) before collapsing. The ascending scallop will retrace, forming a handle. I want to sidestep the retrace and buy again after its drops.”

The stock filled at 9.93, the opening price for candle B. On that day, probably after the market closed, the company announced earnings that the market didn't like. The stock gapped open lower the next day (combination breakaway and exhaustion gap), reaching a low 22% below my sell price.

I don't even think I was aware of the earnings release because I made no mention of it in my trading notebook.

On the trade, I made 21% in 39 days. Thank goodness I sold when I did.

- Lesson: I used the potential retrace (handle) from an ascending scallop to signal a timely exit to a trade on the day of an earnings